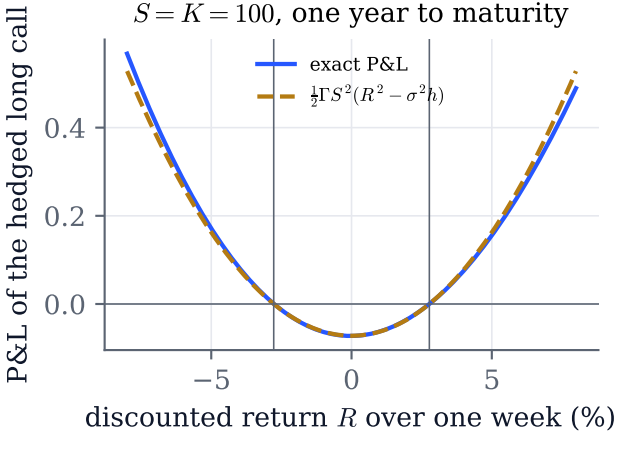
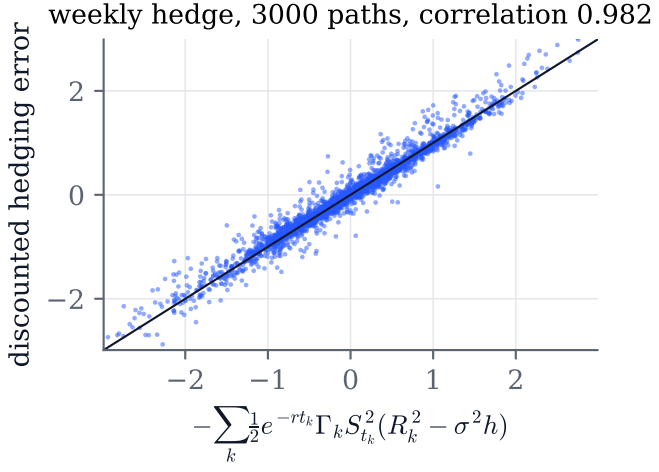

$S = K = 100$, one year to maturity
exact P&L
$\frac{1}{2}\Gamma S^2(R^2 - \sigma^2 h)$
P&L of the hedged long call
0.4
0.2
0.0
−5
0
5
discounted return R over one week (%)


weekly hedge, 3000 paths, correlation 0.982
discounted hedging error
2
0
−2
−2
−1
0
1
2
$-\sum_k \frac{1}{2} e^{-rt_k} \Gamma_k S_{t_k}^2 (R_k^2 - \sigma^2 h)$